

China's export restrictions should make India rethink fertiliser pricing

A good monsoon, with India overall receiving 8.4 per cent above average rain for the current season from June 1 till July 18, **has led to brisk sowing** of most kharif crops. The comfortable **water situation** — rainfall was a **whopping** 106.4 per cent **surplus** even in May due to the monsoon arriving eight days before schedule — **has**, however, **had a flip side**: Reports from the ground suggest shortages of both di-ammonium phosphate (DAP) and urea fertilisers. This is also **reflected** in stocks of DAP, at 1.3 million tonnes (MT) as on June 30, being lower than the 1.9 MT for the same date in 2024. **Urea stocks**, too, at 6.1 MT, **have** been below the corresponding year-ago level of 10.3 MT. Lower stocks relative to higher demand from farmers, **courtesy of** the monsoon's early **onset** and good rains **thereafter conducive to** sowing, have created supply shortfalls and long **queues** at many distribution centres.

It's, however, not just the monsoon-induced demand. No less significant is the China factor. In 2023-24, China supplied 2.3 mt out of the total 5.6 mt DAP imported by India. It also **accounted for** 2.1 mt out of India's 8 mt of urea imports. But in the **following** financial year, **imports** of both DAP and urea **fell** to 4.6 mt and 6.9 mt, with those from China falling even more to 0.8 mt and 0.1 mt respectively. **Simply put**, China's unpredictable export restrictions have caused a global supply **squeeze** not only in rare earth elements and magnets used in electric vehicles and consumer electronic devices, but also nitrogenous and phosphatic fertilisers that are **essential** for crop growth and development. And these hurt India, which imports fertilisers in either finished form or as intermediates or raw materials for domestic manufacture: The country has **hardly** any mineable rock phosphate or potash reserves, while more than half of its natural gas, the main **feedstock** in urea, is imported.

If import dependence is a given, **the policy response**, too, **must adjust** to that reality. Unfortunately, that has not been the case with fertilisers, where political **considerations** have **engendered** the most **perverse** outcomes. The **underpricing** of urea and DAP — farmers are paying for **the former** almost the same as what they were some 12 years ago — **has resulted in** their **over-application**. Also, it has **hindered** the introduction of new products that allow the same nutrients to be better absorbed by the plants and converted into biomass (yield) or are customised to **meet** the specific requirements of a crop, soil type and local climate. Compare this with the increasing adoption of electric vehicles, solar pumps and rooftop panels: Would this have been possible had petrol and diesel remained **super-subsidised**? That lesson is as relevant for fertilisers. The China supply shock presents an opportunity to learn and reform.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

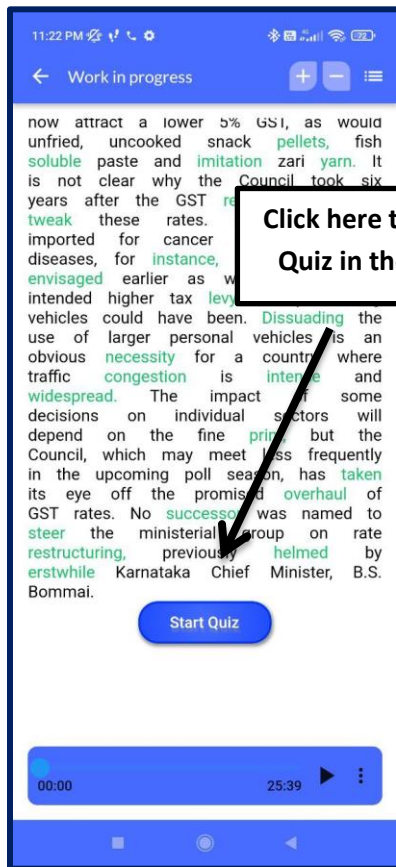
1. **Rethink** (verb) – Reconsider, reassess, re-evaluate, review, revise पुनर्विचार करना
2. **Lead** (to) (verb) – Cause, result in, bring about, give rise to, produce उत्पन्न करना
3. **Brisk** (adjective) – Lively, energetic, rapid, quick, vigorous तेज़
4. **Sowing** (noun) – Planting, seeding, cultivation, tilling, propagation बुआई
5. **Whopping** (adjective) – Huge, massive, enormous, tremendous, colossal अत्यधिक
6. **Surplus** (noun) – Excess, extra, overflow, remainder, oversupply अधिशेष
7. **Have a flip side** (phrase) – Have a downside, have a drawback, have a negative aspect, be double-edged, come with consequences नकारात्मक पहलू होना
8. **Reflect** (verb) – Indicate, show, reveal, demonstrate, exhibit दर्शाना
9. **Courtesy of** (phrase) – Due to, thanks to, because of, as a result of, on account of की वजह से
10. **Onset** (noun) – Beginning, start, commencement, arrival, initiation शुरुआत
11. **Thereafter** (adverb) – Subsequently, later, afterwards, then, following that उसके बाद
12. **Conducive** (to) (adjective) – Favourable, beneficial, helpful, suitable, supportive अनुकूल
13. **Queue** (noun) – Line, row, file, column, procession कतार
14. **Account for** (phrasal verb) – Represent, constitute, explain, make up, be responsible for जिम्मेदार होना
15. **Following** (preposition) – After, subsequent to, next, ensuing, post के बाद
16. **Simply put** (phrase) – In short, to summarize, briefly, plainly, concisely सीधे शब्दों में
17. **Squeeze** (noun) – Shortage, scarcity, crunch, deficit, lack कमी
18. **Essential** (adjective) – Necessary, vital, crucial, indispensable, fundamental आवश्यक
19. **Hardly** (adverb) – Barely, scarcely, rarely, seldom, only just मुश्किल से
20. **Feedstock** (noun) – Raw material, input, base material, resource, supply कच्चा माल
21. **Adjust** (verb) – Adapt, modify, change, accommodate, fine-tune समायोजित करना
22. **Consideration** (noun) – Factor, concern, thought, attention, aspect विचार

23. **Engender** (verb) – Cause, generate, produce, induce, bring about उत्पन्न करना
24. **Perverse** (adjective) – Irrational, unreasonable, illogical, contrary, self-defeating विकृत
25. **The former** (noun) – Here it refers to 'DAP'.
26. **Result in** (phrase) – Cause, lead to, produce, bring about, give rise to परिणामस्वरूप होना
27. **Over-application** (noun) – Excessive use, overuse, surplus usage, undue application, misuse अत्यधिक उपयोग
28. **Hinder** (verb) – Obstruct, impede, hamper, prevent, block बाधा डालना
29. **Meet** (verb) – Fulfil, satisfy, comply with, achieve, adhere to पूरा करना
30. **Super-subsidised** (adjective) – Heavily subsidised, underpriced, discounted, state-supported, government-aided अत्यधिक सब्सिडी वाला

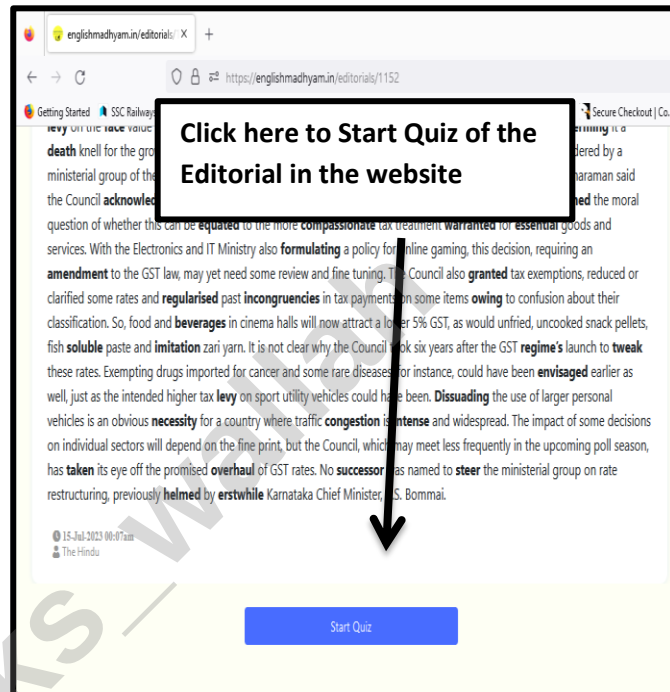
Summary of the Editorial

1. **Above-average Monsoon:** India received 8.4% above normal rainfall this season (June 1–July 18), boosting kharif crop sowing.
2. **Early Monsoon Arrival:** The monsoon arrived eight days early, with a 106.4% surplus in May, further encouraging sowing activity.
3. **Fertiliser Shortages:** Increased agricultural activity has led to shortages of key fertilisers — di-ammonium phosphate (DAP) and urea.
4. **Low Fertiliser Stocks:** As of June 30, DAP stocks were 1.3 million tonnes (MT), down from 1.9 MT in 2024; urea stocks were 6.1 MT, down from 10.3 MT.
5. **High Demand Meets Low Supply:** Farmers' high demand amid favourable weather has resulted in long queues and supply gaps.
6. **China's Role in Fertiliser Supply:** China was a major supplier of fertilisers to India — 2.3 MT of DAP and 2.1 MT of urea in 2023–24.
7. **Sharp Drop in Chinese Supply:** In 2024–25, China's fertiliser exports to India fell drastically to 0.8 MT (DAP) and 0.1 MT (urea).
8. **Export Restrictions:** China's unpredictable export policies are contributing to global fertiliser shortages.
9. **Wider Supply Chain Impact:** China's restrictions affect not just fertilisers but also critical raw materials for other industries like EVs and electronics.
10. **India's Import Dependence:** India lacks significant reserves of rock phosphate or potash and imports over half its natural gas — a key input for urea.
11. **Need for Policy Rethink:** India must reform its fertiliser policy to reflect its high import dependence and current supply challenges.
12. **Distorted Pricing:** Urea and DAP are heavily underpriced; urea prices have remained almost unchanged for over a decade.
13. **Overuse and Inefficiency:** Subsidised prices lead to over-application of fertilisers, reducing efficiency and long-term soil health.
14. **Stalled Innovation:** Price controls prevent introduction of advanced and customised fertiliser products tailored to crop and soil needs.
15. **Reform Opportunity:** The current supply crisis, especially triggered by China, presents India with a critical chance to reform fertiliser pricing and usage policies.

Practice Exercise: Banking Pattern Based



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